

The Secret to Perfect Market Forecasts

WHEN WAS THE last time anyone got good investing advice from the front page of a newspaper or magazine?

Ask yourself the following questions:

- When has the mainstream media made a timely warning about an imminent recession?
- Has the punditocracy ever correctly identified a bubble in real time?
- When have the public's perspectives on market valuation and future market direction been right?

Look no further than mutual fund flows to see how wrong individuals are. Aside from the obvious utility to contrarians at the extremes, sentiment from the public, media, and pundits is simply of no use to me as an investor. I can make a strong case that the commentariat has cost those who listen to them far more money than they have ever saved.

What about you, Ritholtz? How can you impugn the media and well-intentioned pundits when you yourself are a member of the chattering classes?

I plead, "Guilty with an explanation." You will note a consistent theme in my columns and TV and radio appearances:

- I don't offer opinions about things I don't know anything about.
- The use of data from credible sources is always the underlying basis for discussions.
- I recognize my own cognitive foibles and consistently attempt to be self-aware of the limitations and failures of the human wetware.